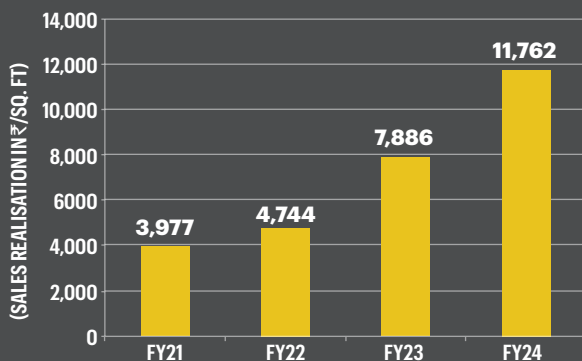


STRONG SALES

Focus on mid-income and premium housing projects lifted Signature Global's per sq. ft realisation over the past three years



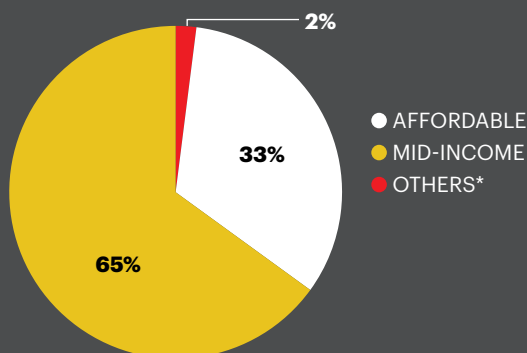
SOURCE COMPANY FILINGS

FOCUS ON MID SEGMENT

In upcoming projects, Signature Global, which entered the mid-income home market in 2018, expects the segment's share to rise to 68%

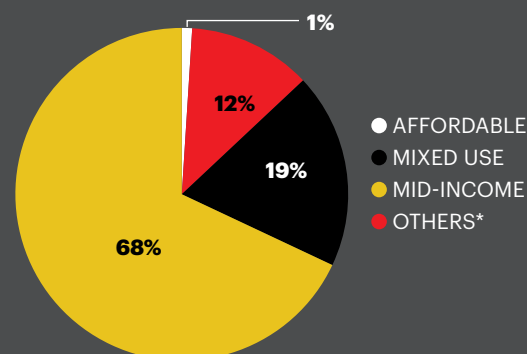
ONGOING PROJECTS

(16.9 MILLION SQ. FT)



FORTHCOMING PROJECTS

(28.4 MILLION SQ. FT)



*INCLUDES PREMIUM PROJECTS

SOURCE COMPANY

₹4,000 in FY21 to ₹11,762 at the end of FY24.

Profitability remains a concern. Since FY21, the company has been reporting losses at the net level. While Covid-19 had impacted its sales, when it moved into mid-income housing, it had to borrow money to buy land. In the first nine months of FY24, Signature Global's net losses were primarily due to increased debt from significant land acquisitions.

"We booked a consolidated net profit of ₹21.7 crore in the December quarter. By 2025-26, we aim to complete and deliver over 17 million sq. ft of space across our mid-housing and affordable housing projects in Gurugram, with a projected revenue of ₹11,000 crore," Aggarwal says. "Strategically, we aim to do fewer land acquisitions in the coming quarters, and increased revenue would push up net profit."

PREMIUM TO WASH OUT RED

A third of Signature Global's projects are in the affordable segment. Of the projects on the drawing board, only 1% are in the affordable segment, while premium projects will be in double digits.

ICICI Securities reckons Signature Global will turn profitable at the net level in FY24, with a net profit of over ₹100 crore, which will go up to over ₹1,350 crore by FY26. Net revenue will grow to over ₹6,900 crore from ₹1,586 crore in FY23, given its lean banking business model that ensures rapid conversion from acquisition to delivery.

Adhidev Chattopadhyay, Vice President-Equity Research, ICICI Securities, says, "Signature delivered 43% sales booking CAGR over FY21-23, largely through affordable/mid-income housing projects."

Given its strong launch pipeline of projects with a cumulative sales value of more than ₹40,000 crore over FY24 to FY26, "we estimate that Signature may clock a 38% sales booking CAGR over FY23-27 with sales booking at ₹10,000-12,000 crore annually at average realisations of over ₹13,000 a sq. ft," he adds.

Looking to dominate premium housing, Signature Global plans to launch projects worth ₹12,000 crore in Sector 71 and Sohna (priced over ₹2.5 crore a unit) and in Sector 37D and 84 (priced over ₹1 crore).

But Aggarwal claims Signature Global is still a "common man's company", and he is ready to develop affordable housing again if the government tweaks the norms and offers cheaper land. For now, it is tallying the numbers for Q4FY24 to see if it has made a sequential profit after the net profit of ₹21.49 crore in Q3. That will show it is on the right track. **BT**

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